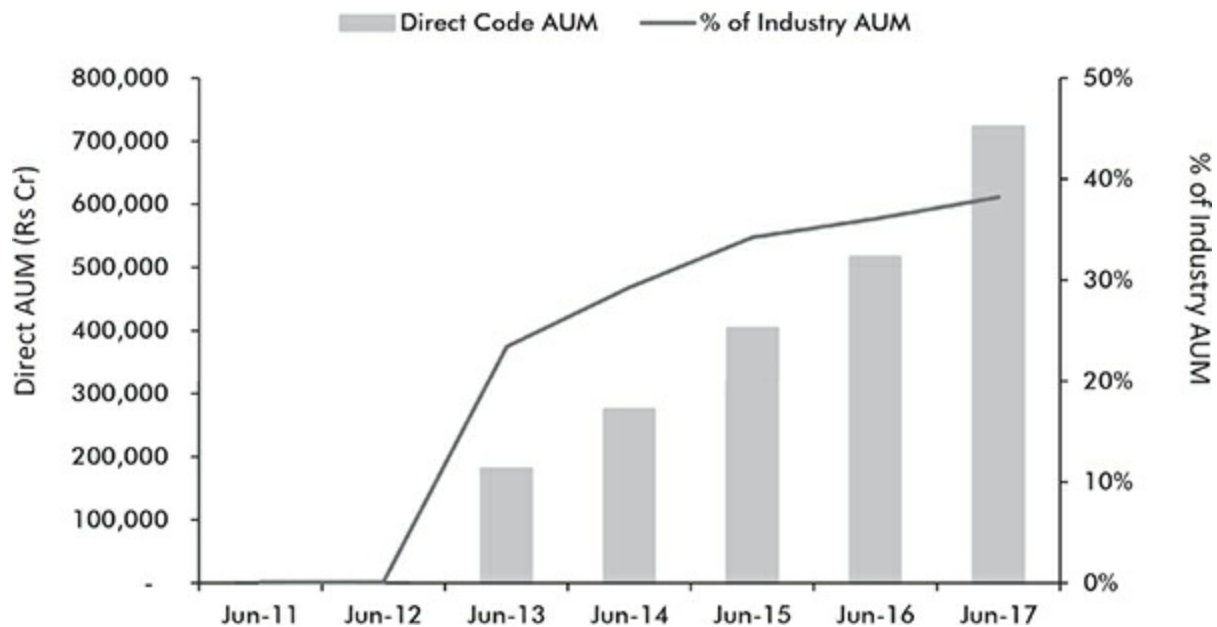


Exhibit 68: Direct schemes are pulling away assets under management from distributors



Source: MFI, ICRA, Ambit Capital

Nikhil chose three small-cap mutual fund schemes for Mr Talwar, all with ‘growth’ options. Growth schemes do not offer any dividends to the investor. As a result, the fund returns even more money when it is eventually encashed as the dividends are reinvested. For Mr Talwar, who was comfortably placed with respect to cash flows from his salary, growth schemes made sense; he could always redeem a portion if he needed any capital. Nikhil reminded Mr Talwar that long-term capital gains tax on all equity investments was zero.

Next up was the ‘good and clean’ investing approach for small-midcaps.³ Since there are over 4500 small-cap stocks in India and very few of these companies are well-researched, smaller companies’ promoters are notorious for their propensity to fabricate financial statements. Leaving aside their ‘cleanliness’ with regard to accounting and corporate governance, most Indian companies struggle to invest their capital sensibly because promoters rarely follow a specific strategy for extended periods of time and because the